STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of Albany on June 22, 2023

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
Diane X. Burman
James S. Alesi
Tracey A. Edwards
John B. Howard
David J. Valesky
John B. Maggiore

19-G-0309 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

ORDER APPROVING, WITH CONDITION, TARIFF AMENDMENTS ON A PERMANENT BASIS

(Issued and Effective June 27, 2023)

BY THE COMMISSION:

INTRODUCTION

On March 2, 2023, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY); and KeySpan Gas East Corp. d/b/a National Grid (KEDLI) (collectively, the Companies), filed tariff amendments to their gas tariff schedules, as directed by the Commission.[1] On April 25, 2023, the Companies filed further

[1] Cases 19-G-0309 and 19-G-0310, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021)(2021 Rate Order).

tariffs amendments. The Companies' tariff amendments, which became effective on a temporary basis on April 1, 2023, effectuate the provisions adopted by the Order for a Stay Out Period (the 12-month period ending March 31, 2024). By this Order, the Commission authorizes the tariff amendments listed in the Appendix for both Companies to become effective on a permanent basis. Additionally, KEDNY is directed to book a regulatory liability in the amount of $0.227 million for future disposition by the Commission.

TARIFF FILINGS

On March 2, 2023, the Companies filed gas tariff amendments to effectuate the Stay Out period rates pursuant of the Commission's 2021 Rate Order. The proposed tariff amendments update the delivery rates for the Stay Out period. The tariff amendments, provide for overall Stay Out period revenue increases of 0.5 percent for KEDLI and 3.9 percent for KEDNY. The tariffs amendments also incorporated several housekeeping revisions which include: 1) updating the Companies' addresses and contact information, 2) eliminating tariff provisions that are no longer in effect, and 3) clarifying that the Research and Development Surcharge is applicable to service class No. 17 customers.

On April 25, 2023, the Companies filed further tariff amendments to update the Stay Out period revenue targets for the Revenue Decoupling Mechanism (RDM), the Merchant Function Charge, the Non-Firm Demand Response Revenue Reconciliation (NFRR) Surcharge, and the Newtown Creek Revenue Reconciliation.

The Appendix to this Order sets forth a list of the amended tariff leaves filed by the Companies. The Companies complied with the requirements of newspaper publication pursuant

to Public Service Law (PSL) §66(12)(b) and Title 16 of the New York Codes, Rules and Regulations (16 NYCRR) §720-8.1.

LEGAL AUTHORITY

Pursuant to PSC §§5, 65(1) and (8), and 66(1) and (12), the Commission has the legal authority to review the proposed tariff leaves, as well as modify, reject, or approve and make effective tariff amendments, as prescribed in this Order.

DISCUSSION AND CONCLUSION

The Commission finds the Stay Out Period delivery rates specified in the tariff amendments are overstated and would result in KEDNY over collecting the revenues by $0.227 million. KEDNY's delivery revenues for the Stay Out Period should increase by $53.6 million as the surcredit used to levelize Rate Year 3 delivery rates ended.[2] However, KEDNY's proposed delivery rates and corresponding RDM targets would result in a delivery revenue increase of $53.875 million, an over collection of $0.227 million. In a response to an information request, the Company also confirmed that KEDNY's delivery rates were overstated by $0.227 million. KEDNY stated that it would need to redesign delivery rates for all KEDNY customers, republish new rates in the newspaper, update and test the billing system, and update numerous tariff leaves to reflect the revised rates and revenue targets. Instead of revising the delivery rates and RDM targets, the Company proposed to record a deferred lability for the $0.227 million with accrued carrying charged at the Company' pretax Weighted Average Cost of Capital for future refund to customers. The Commission agrees that

[2] Id. Appendix 1, Schedule 3 p 1.

revising the delivery rates would be administratively burdensome and finds the Company's proposal to record the deferred liability to be reasonable. As such, the Commission directs KEDNY to record a deferred liability in the amount of $0.227 million with accrued carrying charges for future disposition by the Commission. The Commission finds the other tariff provisions to be either housekeeping in nature or in compliance with the 2021 Rate Order.

Accordingly, the Commission authorizes the tariff amendments listed in the Appendix to become effective on a permanent basis as of the date of this Order.

The Commission orders:

1. The tariff amendments filed by the Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corp. d/b/a National Grid and listed in the Appendix are authorized to become effective on a permanent basis as of the date of issuance of this Order.

2. The Brooklyn Union Gas Company d/b/a National Grid NY shall record a regulatory liability in the amount of $0.227 million with accrued pre-tax carrying charges for future Commission determination.

3. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary

SUBJECT: Filing by THE BROOKLYN UNION GAS COMPANY
D/B/A NATIONAL GRID NY

Amendments to P.S.C. No. 12 – Gas

First Revised Leaves Nos. 464, 475, 477, 479
Second Revised Leaves Nos. 126, 138.55.7
Third Revised Leaf No. 431.1
Fifth Revised Leaf No. 15
Eighth Revised Leaf No. 419
Ninth Revised Leaves Nos. 427.28, 427.29
Eleventh Revised Leaf No. 158.1
Seventeenth Revised Leaf No. 229
Twenty-First Revised Leaf No. 171
Twenty-Fourth Revised Leaf No. 156
Twenty-Fifth Revised Leaves Nos. 148, 163, 167
Twenty-Seventh Revised Leaves Nos. 159, 340
Twenty-Eighth Revised Leaves Nos. 140, 144, 160
Twenty-Ninth Revised Leaf No. 339
Thirtieth Revised Leaf No. 341

Delivery Rate Adjustment (DRA) – Statement No. 10
Rate Adjustment Clause (RAC) – Statement No. 3

Issued: March 2, 2023 Effective: April 1, 2023
on a temporary basis.

SUBJECT: Filing by KEYSPAN GAS EAST CORP. D/B/A NATIONAL GRID

Amendments to P.S.C. No. 1 – Gas

Second Revised Leaf No. 119.52.9
Fifth Revised Leaf No. 24
Eleventh Revised Leaf No. 215
Thirteenth Revised Leaf No. 137.1
Fourteenth Revised Leaves Nos. 162, 211
Fifteenth Revised Leaves Nos. 74.1, 128, 213
Seventeenth Revised Leaves Nos. 122.2, 122.3
Eighteenth Revised Leaves Nos. 125, 127
Nineteenth Revised Leaf No. 124
Twentieth Revised Leaf No. 122
Twenty-First Revised Leaf No. 121
Twenty-Seventh Revised Leaves Nos. 137, 138

Delivery Rate Adjustment (DRA) – Statement No. 10
Rate Adjustment Clause (RAC) – Statement No. 3

Issued: March 2, 2023 Effective: April 1, 2023
on a temporary basis.

SAPA: Not Applicable

NEWSPAPAER PUBLICATION: Waived